investor confusion and/or overwhelm investors? If so, is there any way to preserve the ability of funds to rely on rule 30e-1(d) while mitigating these potential negative effects?

I. Investment Company Advertising Rule Amendments

As part of our proposed improvements to fund fee and expense information for investors, we are proposing to amend the Commission's investment company advertising rules (for purposes of this release, Securities Act rules 482, 156, and 433 and Investment Company Act rule 34b-1) to promote transparent and balanced presentations of fees and expenses in investment company advertisements.[648] As investment companies increasingly compete and market themselves on the basis of costs, we are concerned that investment company advertisements may mislead investors by creating an inaccurate impression of the costs associated with an investment.[649] The proposed advertising rule amendments would generally apply to all investment companies, including mutual funds, ETFs, registered closed-end funds, and BDCs.[650] Under the proposed amendments, investment company fee and expense presentations in advertisements would have to include timely and prominent information about a fund's maximum sales load (or any other nonrecurring fee) and gross

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648 For purposes of this release, we generally refer to the types of investment company communications covered by rules 482, 156, 433, and 34b-1 as "advertisements," unless otherwise noted. Although the Commission recently proposed rule amendments relating to investment adviser advertisements, that proposal did not address investment company advertising rules. *See* Investment Adviser Advertisements; Compensation for Solicitations, Investment Advisers Act Release No. 5407 (Nov. 4, 2019) [84 FR 67518 (Dec. 10, 2019)].

649 *See supra* Section I.C.

650 As a result, for purposes of this Section II.I, the term "fund" is not limited to mutual funds and ETFs registered on Form N-1A. Instead, we use this term more broadly in this Section to refer to any investment company that is subject to the Commission's investment company advertising rules, including registered closed-end funds and BDCs.

total annual expenses, based on the methods of computation that the company's Investment Company Act or Securities Act registration statement form prescribes for a prospectus.[651] We also are proposing to amend rule 156 to provide factors an investment company should consider to determine whether representations in its advertisements about the fees and expenses associated with an investment in the fund could be misleading.[652]

Investment company advertisements, including advertisements regarding registered investment companies and BDCs, typically are prospectuses for purposes of the Securities Act.[653] These advertisements are typically subject to rule 482, which provides a framework in which investment company advertisements are deemed to be "omitting prospectuses" that may include information the substance of which is not included in a fund's statutory or summary prospectus.[654] Rule 482 establishes certain content, legend, and filing requirements for investment company advertisements. Many of the rule's content requirements focus on advertisements that include performance data of certain types of funds, including mutual

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651 *See* proposed rule 482(i) and (j); proposed rule 34b-1(c); proposed rule 433(c).

652 *See* proposed rule 156(b)(4).

653 *See* section 2(a)(10) of the Securities Act (defining the term "prospectus" to mean any prospectus, notice, circular, advertisement, letter, or communication, written or by radio or television, which offers any security for sale or confirms the sale of any security, subject to certain exceptions, including an exception for a communication that generally was accompanied or preceded by a statutory prospectus).

654 *See* section 10(b) of the Securities Act; rule 482(a) under the Securities Act (stating that the rule applies to an advertisement or other sales material with respect to securities of a registered investment company or BDC that is selling or proposing to sell its securities pursuant to a registration statement that has been filed under the Securities Act, unless the advertisement is excepted from the definition of prospectus by section 2(a)(10) of the Securities Act or rule 498(d), or is a summary prospectus under rule 498).

funds, ETFs, certain separate accounts, and money market funds.[655] For example, the rule provides a standardized formula for these funds to calculate performance data included in their advertisements.[656] Instead of relying on rule 482, registered closed-end funds and BDCs may use free writing prospectuses in accordance with rule 433 and certain other Commission rules for advertising purposes.[657] Because both rule 482 advertisements and free writing prospectuses are treated as prospectuses under section 10(b) of the Securities Act, they are subject to liability under section 12(a)(2) of the Securities Act—which imposes liability for materially false or misleading statements in a prospectus or oral communications—as well as the antifraud provisions of the Federal securities laws.[658]

Rule 34b-1 applies to supplemental sales literature (*i.e.*, sales literature that is preceded or accompanied by a prospectus) by any registered open-end company, registered unit investment trust, or registered face-amount certificate company.[659] Rule 34b-1 includes many of the same requirements as rule 482, including the same performance-related requirements.[660] The Commission adopted rule 34b-1 to ensure that performance claims in supplemental sales literature would not be misleading and to promote comparability and

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655 *See* rule 482(b)(3), (d), (e), and (g).

656 *See* rule 482(d) and (e).

657 *See* Closed-End Fund Offering Reform Adopting Release, *supra* footnote 128, at Section II.F.1; rules 164 and 433 under the Securities Act [17 CFR 230.164 and 17 CFR 230.433].

658 *See, e.g.*, section 12(a)(2) of the Securities Act [77*l*]; section 17(a) of the Securities Act [15 U.S.C. 77q]; section 10(b) of the Exchange Act [15 U.S.C. 78j]; section 34(b) of the Investment Company Act [15 U.S.C. 80a-33]; section 206 of the Investment Advisers Act of 1940 [15 U.S.C. 80b-6].

659 *See* rule 34b-1 under the Investment Company Act; section 24(b) of the Investment Company Act.

660 *See* rule 34b-1(b)(1)-(2) under the Investment Company Act.

uniformity among supplemental sales literature and rule 482 advertisements.[661] Supplemental sales literature is subject to the general antifraud provisions of the Federal securities laws.

Rule 156 states that whether or not a particular description, representation, illustration, or other statement involving a material fact is misleading depends on evaluation of the context in which it is made. The rule discusses several pertinent factors that should be weighed in considering whether a particular statement involving a material fact is or might be misleading in investment company sales literature, including rule 482 advertisements and supplemental sales literature.[662] Rule 156 applies to sales literature used by any person to offer to sell or induce the sale of securities of any investment company, including registered investment companies and BDCs.[663]

Currently, the investment company advertising rules largely focus on performance-related information.[664] Among other things, the performance-related provisions of these rules

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661 *See* Advertising by Investment Companies, Investment Company Act Release No. 16245 (Feb. 2, 1988) [53 FR 3868 (Feb. 10, 1988)], at Section III; Advertising by Investment Companies; Proposed Rules and Amendments to Rules, Forms, and Guidelines, Investment Company Act Release No. 15315 (Sept. 17, 1986) [51 FR 34384 (Sept. 26, 1986)], at nn.77 and 78 and accompanying text.

662 *See* Mutual Fund Sales Literature Interpretive Rule, Investment Company Act Release No. 10915 (Oct. 26, 1979) [44 FR 64070 (Nov. 6, 1979)] ("Rule 156 Adopting Release").

663 For purposes of rule 156, investment company sales literature includes any communication (whether in writing, by radio, or by television) used by any person to offer to sell or induce the sale of securities of any investment company. *See* rule 156(c) [17 CFR 230.156(c)]. Communications between issuers, underwriters and dealers are included in this definition of sales literature if such communications, or the information contained therein, can be reasonably expected to be communicated to prospective investors in the offer or sale of securities or are designed to be employed in either written or oral form in the offer or sale of securities.

664 Rule 433 does not include performance-related requirements for registered closed-end fund or BDC free writing prospectuses. Currently, most rule 482 content requirements, including the performance-related requirements, do not apply to registered closed-end funds and BDCs.

are designed to: (1) address concerns that investors would be unable to compare fund performance when funds use different calculation methods in their advertisements;[665] and (2) highlight areas that, based on the Commission's experience with investment company advertisements, have been particularly susceptible to misleading statements.[666] The investment company advertising rules do not presently require information about an investment company's fees and expenses or limit how fee and expense information is presented, with one exception. Under the current rules, if an advertisement provides performance data of an open-end management investment company or a separate account registered as a unit investment trust offering variable annuity contracts, it also must include the maximum amount of the fund's sales load (*i.e.*, purchase charge or exit charge) or any other nonrecurring fee that it charges.[667]

Separately, FINRA rule 2210 requires fee and expense information in certain non-money market fund open-end management investment company advertisements that provide performance information.[668] This includes: (1) the fund's maximum sales charge (*i.e.*, purchase charge or exit charge); and (2) the total annual fund operating expense ratio, gross of any fee waivers or expense reimbursements (*i.e.*, ongoing annual fees). Under FINRA's rule,

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665 *See* Rule 156 Adopting Release, *supra* footnote 662, at Section I.2.

666 *See* Rule 156 Adopting Release, *supra* footnote 662; Investment Company Sales Literature Interpretive Rule, Investment Company Act Release No. 10621 (Mar. 8, 1979) [44 FR 16935 (Mar. 20, 1979)], at paragraph accompanying n.5.

667 *See* rule 482(b)(3)(ii); rule 34b-1(b)(1)(i).

668 FINRA rule 2210(d)(5). This provision only applies to retail communications and correspondence that present non-money market fund open-end management investment company data as permitted by rule 482 and rule 34b-1.

a fund's standardized performance information, sales charge, and total annual fund operating expense ratio (gross of any fee waiver or expense reimbursement) must be set forth prominently.

To promote more consistent and transparent presentations of investment costs in investment company advertisements, we are proposing to amend rules 482, 433, and 34b-1 to require that investment company advertisements providing fee or expense figures for the company include certain standardized fee and expense figures.[669] The proposed amendments would apply to advertisements of any registered investment company or BDC. We are not proposing to limit the scope of the proposed amendments to a subset of investment companies because we believe investors in any registered investment company or BDC would benefit from advertisements that provide consistent, standardized fee and expense information that is generally aligned with prospectus fee and expense information.

With respect to rule 482, we are proposing to amend the rule to require that investment company advertisements providing fee and expense figures include: (1) the maximum amount of any sales load, or any other nonrecurring fee; and (2) the total annual expenses without any fee waiver or expense reimbursement arrangement (collectively, the "required fee and expense figures").[670] Because we believe that these are important figures for assessing the fees and expenses of a fund investment, the proposal would require any advertisement presenting fee and expense figures to include these items. This proposed requirement would only apply if an

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669 *See* proposed rule 482(i)(1).

670 In an expense reimbursement arrangement, the adviser reimburses the fund for expenses incurred. In a fee waiver arrangement, the adviser agrees to waive a portion of its fee in order to limit fund expenses.

investment company advertisement includes fee or expense *figures*, and therefore an advertisement would not need to include the required fee and expense figures if it only included general, narrative information about fee and expense considerations and did not include any numerical fee or expense amounts.[671]

The proposed required fee and expense figures would be based on the methods of computation that the fund's Investment Company Act or Securities Act registration statement form prescribes for a prospectus. This proposed requirement is designed to promote consistent fee and expense computations across investment company advertisements, particularly within the same fund category, and to facilitate investor comparisons. We are proposing to require consistency with prospectus requirements because, like a fund's summary or statutory prospectus, advertisements are often designed for prospective investors and may influence an investment decision. Further, similar to associated prospectus requirements, if an advertisement covers only a subset of a fund's share classes, the advertisement could provide the required fee and expense information for those classes only.[672]

While investment company advertisements could include other figures regarding a fund's fees and expenses, the advertisement would have to present the required fee and expense figures at least as prominently as any other included fee and expense figures. For example, under the proposed amendments, an advertisement could include a fund's fees and expenses net of certain amounts, such as a fee waiver or expense reimbursement arrangement,

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671 This might be the case if, for example, the advertisement only refers to the fund's fees and expenses in the context of the disclosure required by rule 482(b)(1), which requires a statement advising an investor to consider the investment objectives, risks, and charges and expenses of the fund carefully before investing.

672 *See, e.g.*, Instruction 1(d)(ii) to Item 3 of current Form N-1A; Instruction 1(e) to proposed Item 3 of Form N-1A; Instruction 1(d)(ii) to proposed Item 8A of Form N-1A.

as we understand some fund advertisements do today. However, an advertisement could not present the net figure more prominently than the required fee and expense figures. In addition to meeting the proposed content and presentation requirements, advertisements that include a fund's total annual expenses net of fee waiver or expense reimbursement arrangement amounts would also need to include the expected termination date of the arrangement.[673] We believe this proposed requirement would help investors better understand how a fee waiver or expense reimbursement arrangement may affect their investment costs by providing information about how long the arrangement would likely be in place (including that it may be terminated at any time).[674]

The proposed amendments would also include timeliness requirements for fee and expense information in investment company advertisements.[675] The proposed timeliness requirement would apply to fee and expense *information* and, thus, it would apply to fee and expense figures as well as relevant narrative information. Under the proposal, fee and expense information would need to be as of the date of the fund's most recent prospectus or, if the fund no longer has an effective registration statement under the Securities Act, as of its most recent annual report.[676] A fund would, however, be able to provide more current information,

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673 *See* proposed rule 482(i)(2).

674 This also is similar to information that funds generally must include in their prospectuses when including total annual expenses net of a fee waiver or expense reimbursement arrangement. *See* Instruction 3(e) to Item 3 of Form N-1A; Instruction 4(b) to proposed Item 3 of Form N-1A; Instruction 4(e) to proposed Item 8A of Form N-1A; Instruction 15(f) to Item 4 of Form N-3; Instruction 17 to Item 4 of Form N-4.

675 *See* proposed rule 482(j).

676 In the case of a new fund that does not yet have an effective registration statement, fee and expense information would need to be as of the date of the fund's most recent prospectus filed with the Commission.

if available. The proposed timeliness requirement is designed to prevent investment company advertisements from including stale, outdated information about a fund's fees and expenses. For instance, a registered open-end fund that maintains an effective Securities Act registration statement on Form N-1A would need to provide its maximum sales load (or other nonrecurring fee) and gross total annual expenses, as of the date of the fund's most recent prospectus.[677] As another example, a registered closed-end fund that includes fee and expense figures in a rule 482 advertisement and that does not maintain an effective Securities Act registration statement would need to provide its gross total annual expenses, as of the date of the fund's most recent annual report.[678]

We also are proposing to amend rules 34b-1 and 433 so that those rules incorporate rule 482's proposed content, presentation, and timeliness requirements for fees and expenses. This would help ensure that the same fee and expense-related requirements are applied consistently across all registered investment company and BDC advertisements and sales literature. The proposed amendments to rule 34b-1 would provide that any sales literature of a registered investment company or BDC would have omitted to state a fact necessary in order to make the statements therein not materially misleading unless the sales literature meets rule

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677 The registered open-end fund's maximum sales load (or other nonrecurring fee) and gross total annual expenses would be computed using the method in proposed Item 8A of Form N-1A. Proposed Item 3 of Form N-1A also requires these figures in a fund's prospectus, but proposed Item 8A contains more complete computational instructions for these figures.

678 Under these circumstances, the registered closed-end fund would not have a maximum sales load to report in its advertisement because it does not have an effective Securities Act registration statement and cannot presently sell the fund's securities. The registered closed-end fund's gross total annual expenses would be computed using the method in Item 3 of Form N-2.

482's proposed content, presentation, and timeliness requirements for investment company fees and expenses.[679] That is, sales literature that would not otherwise be subject to rule 482 would have to meet rule 482's fee and expense requirements. The proposed amendments to rule 34b-1 would, for example, apply to sales literature that is excluded from the definition of "prospectus" in section 2(a)(10) of the Securities Act and thus is not subject to rule 482.[680] Additionally, we propose to amend rule 433, which establishes conditions for the use of post-filing free writing prospectuses, to require a registered closed-end fund or BDC free writing prospectus to comply with the proposed content, presentation, and timeliness requirements of proposed rule 482, as applicable, if the free writing prospectus includes fee and expense

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679 *See* proposed rule 34b-1(c). The proposed amendments would apply to any registered investment company or BDC advertisement, pamphlet, circular, form letter, or other sales literature addressed to or intended for distribution to prospective investors in connection with a public offering (collectively, "sales literature"). The current provisions of rule 34b-1, which largely relate to performance information, would continue to apply only to sales literature that is required to be filed with the Commission by section 24(b) of the Investment Company Act.

680 Like the current scope of rules 34b-1 and 482, the proposed fee and expense requirements in these rules and in rule 433 would not apply to any quarterly, semi-annual, or annual shareholder report under section 30 of the Investment Company Act. We also propose to provide similar treatment to other reports pursuant to section 13 of section 15(d) of the Exchange Act (*e.g.*, Form 10-K, 10-Q, and 8-K reports filed by BDCs). *See* proposed rule 34b-1(c)(2).

Consistent with the current provision in rule 34b-1, the amendments are designed to provide that shareholder reports and similar periodic reports that might otherwise constitute sales literature or advertisements under the rules are not covered by the proposed amendments to rules 482, 34b-1, and 433 because those reports serve to inform shareholders of recent developments relating to their investment. *See* 1988 Advertising Rules Release, *supra* footnote 88, at n.40 and accompanying text (explaining that the current provision is necessary because of the breadth of the definition of "sales literature"). We believe the proposed expansion of this provision to cover fee and expense information in fund advertisements is warranted because, among other things: (1) investors are likely to understand that the fee and expense information in an annual or other periodic report is only as current as the report; and (2) the proposed content requirements for funds' annual and semi-annual reports are designed to independently recognize the types of fee and expense information a fund shareholder may need.